

Q2 2026 Market Report

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Review Period: April 1 – June 30, 2026

Executive Summary

The second quarter of 2026 saw an acceleration in equity gains as the Federal Reserve delivered its first rate cut in May, boosting sentiment across risk assets. The S&P 500 gained 8.2% while bonds rallied on the policy pivot.

Key highlights:

- S&P 500 returned +8.2%, closing at 5,842.50
- NASDAQ Composite surged +11.4%
- Fed cut rates 25bps to 4.75% in May
- 10-Year Treasury yield fell to 4.37%

Equity Market Overview — Q2 2026

US Large Cap Performance

The rate cut catalyzed a broad rally, with growth stocks leading the charge. All sectors posted positive returns except energy, which faced headwinds from falling oil.

Sector Breakdown (Q2 Returns):

Technology:	+14.3%
Healthcare:	+9.1%
Financials:	+7.8%
Consumer Disc.:	+6.5%
Industrials:	+5.2%
Utilities:	+3.9%
Real Estate:	+2.1%
Materials:	+1.4%
Consumer Staples:	+0.8%
Energy:	-3.1%

Fixed Income & Rates — Q2 2026

Treasury Yields

The Fed's May rate cut triggered a bond rally. The yield curve inversion narrowed significantly, with the 2Y-10Y spread improving to -15bps from -25bps at end of Q1.

Key Rates (End of Q2):

Fed Funds Rate: 4.75%
2-Year Treasury: 4.52%
10-Year Treasury: 4.37%
30-Year Treasury: 4.58%

Total returns for the quarter:

US Aggregate Bond: +1.2%
Investment Grade: +1.8%
High Yield: +3.4%

Commodities & FX — Q2 2026

Commodity Markets

Oil declined as OPEC+ surprised markets with increased production targets. Gold continued its rally, benefiting from the weaker dollar post rate-cut.

Select Commodity Performance:

Gold:	+6.2%
Silver:	+8.7%
Copper:	+4.1%
WTI Crude:	-8.5%
Natural Gas:	-12.3%

Foreign Exchange:

EUR/USD:	1.0920 (+2.1%)
USD/JPY:	148.50 (-1.8%)
GBP/USD:	1.2840 (+1.5%)
DXY Index:	103.20 (-1.9%)

Q2 Outlook Summary

Looking Ahead to Q3 2026

We maintain a cautiously optimistic outlook for Q3:

1. Will the Fed cut again in September?
2. Q2 earnings season (July-August) — consensus expects +12% YoY growth for S&P 500
3. US election cycle may increase volatility
4. AI/Technology capex cycle remains a key driver

Positioning Recommendations:

- Increase equity allocation on rate-cut momentum
- Extend bond duration to capture yield decline
- Reduce energy exposure given OPEC+ headwinds
- Maintain gold as inflation and geopolitical hedge

Disclaimer: This report is for informational purposes only and does not constitute investment advice.